# T-12 OPERATING STATEMENT

Brookside Kingsley Market Lofts | Des Moines, IA

| | |
|---|---|
| **Property** | Brookside Kingsley Market Lofts |
| **Period Ending** | May 3, 2025 |
| **Basis** | Accrual - Trailing 12 Months |
| **Prepared By** | Elmstead Asset Services |
| **Size** | 113,995 SF |

## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4000 Gross Potential Re | 397,879 | 395,759 | 375,133 | 368,565 | 376,341 | 382,716 | 371,378 | 370,160 | 354,033 | 375,483 | 352,429 | 399,805 | 4,519,681 |
| 4010 Loss to Lease | 11,092 | 11,324 | 11,039 | 12,194 | 11,388 | 11,879 | 10,846 | 11,791 | 10,826 | 11,811 | 11,108 | 11,553 | 136,850 |
| 4020 Vacancy Loss | 156,298 | 146,699 | 157,345 | 158,859 | 159,387 | 166,232 | 150,033 | 163,727 | 160,563 | 155,705 | 158,616 | 149,701 | 1,883,165 |
| 4030 Concessions | 28,701 | 26,717 | 27,267 | 26,619 | 26,120 | 29,302 | 27,162 | 28,675 | 28,391 | 26,121 | 26,252 | 29,242 | 330,569 |
| 4040 Bad Debt | 165,644 | 182,170 | 181,266 | 185,039 | 184,057 | 166,428 | 181,568 | 168,662 | 162,533 | 178,749 | 165,227 | 185,086 | 2,106,429 |
| 4050 Late Fees | 274,201 | 261,603 | 293,305 | 281,587 | 260,999 | 292,047 | 291,727 | 299,103 | 293,743 | 290,288 | 288,705 | 284,622 | 3,411,929 |
| 4060 Utility Reimbursem | 188,547 | 196,178 | 188,256 | 196,914 | 200,420 | 182,820 | 194,584 | 204,523 | 190,275 | 187,639 | 182,884 | 194,208 | 2,307,247 |
| 4070 Parking Income | 123,916 | 120,196 | 123,550 | 127,960 | 129,820 | 117,567 | 124,670 | 116,464 | 116,404 | 125,300 | 125,668 | 119,584 | 1,471,099 |
| 4080 Application Fees | 280,201 | 308,278 | 283,386 | 280,432 | 287,440 | 285,120 | 276,898 | 288,910 | 282,051 | 306,495 | 282,322 | 307,804 | 3,469,337 |
| 4090 Pet Rent | 33,713 | 34,780 | 34,589 | 32,274 | 33,181 | 31,979 | 32,959 | 34,959 | 33,985 | 30,967 | 33,917 | 32,702 | 400,003 |
| 4100 Laundry Income | 211,542 | 230,730 | 210,219 | 210,028 | 217,916 | 232,569 | 226,764 | 227,415 | 238,028 | 207,676 | 220,804 | 231,634 | 2,665,324 |
| 4110 Cable/Internet Rev | 110,790 | 103,953 | 108,206 | 104,426 | 102,296 | 103,778 | 104,449 | 98,671 | 110,195 | 105,093 | 111,234 | 110,192 | 1,273,284 |
| 4120 CAM Reimbursements | 36,309 | 36,765 | 38,103 | 39,889 | 38,659 | 37,455 | 34,715 | 35,675 | 35,932 | 38,188 | 37,033 | 38,119 | 446,841 |
| 4130 Tax Reimbursements | 238,673 | 233,234 | 220,934 | 221,239 | 247,649 | 244,527 | 250,678 | 249,463 | 245,378 | 231,912 | 247,124 | 222,660 | 2,853,471 |
| 4140 Insurance Reimburs | 172,050 | 186,235 | 184,711 | 190,711 | 192,900 | 179,804 | 179,894 | 171,398 | 173,361 | 171,174 | 185,872 | 178,797 | 2,166,907 |
| 4150 Percentage Rent | 283,585 | 312,402 | 294,457 | 297,383 | 292,098 | 310,701 | 281,449 | 304,177 | 288,418 | 292,339 | 296,124 | 304,771 | 3,557,904 |
| 4160 Misc. Income | 138,136 | 137,399 | 128,202 | 126,880 | 130,657 | 139,239 | 138,196 | 136,591 | 132,343 | 126,969 | 138,896 | 142,693 | 1,616,201 |
| 4170 Payroll - Manageme | 31,638 | 30,158 | 30,091 | 29,265 | 31,435 | 28,725 | 30,677 | 28,707 | 32,036 | 29,843 | 29,578 | 32,277 | 364,430 |
| 4180 Payroll - Leasing | 32,559 | 31,535 | 31,624 | 34,052 | 31,019 | 31,331 | 33,086 | 33,373 | 31,718 | 30,505 | 31,844 | 32,378 | 385,023 |
| 4190 Payroll - Maintena | 11,712 | 10,823 | 11,231 | 11,684 | 11,471 | 10,607 | 11,236 | 10,881 | 11,750 | 11,288 | 10,706 | 11,589 | 134,977 |
| 4200 Payroll Taxes & Be | 23,628 | 22,875 | 23,093 | 21,246 | 22,105 | 23,685 | 22,448 | 22,198 | 22,171 | 23,174 | 21,853 | 21,110 | 269,585 |
| 4210 Repairs - Plumbing | 27,664 | 28,417 | 27,700 | 26,859 | 27,926 | 26,681 | 27,144 | 27,336 | 28,208 | 29,254 | 29,812 | 27,833 | 334,833 |
| 4220 Repairs - HVAC | 18,025 | 16,507 | 17,734 | 18,633 | 16,815 | 17,545 | 17,865 | 18,600 | 18,223 | 17,202 | 17,223 | 16,473 | 210,845 |
| 4230 Repairs - Electric | 45,346 | 42,656 | 41,957 | 42,479 | 40,397 | 44,410 | 43,368 | 42,827 | 41,739 | 45,943 | 41,209 | 42,751 | 515,082 |
| 4240 Repairs - Applianc | 24,804 | 24,347 | 23,645 | 23,235 | 23,865 | 22,905 | 24,003 | 26,212 | 24,830 | 24,065 | 23,438 | 24,367 | 289,717 |

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4440 Accounting & Audit | 41,946 | 38,678 | 38,008 | 38,773 | 41,255 | 37,669 | 41,898 | 38,713 | 40,374 | 39,288 | 38,320 | 40,166 | 475,088 |
| 4450 Licenses & Permits | 30,865 | 34,247 | 32,735 | 34,938 | 33,900 | 35,029 | 33,795 | 31,475 | 33,100 | 32,861 | 32,655 | 31,402 | 397,002 |
| 4460 Management Fee | 21,429 | 20,477 | 20,105 | 21,017 | 21,049 | 21,350 | 21,824 | 20,154 | 21,067 | 19,581 | 19,404 | 21,659 | 249,117 |
| 4470 Property Insurance | 5,951 | 5,670 | 6,346 | 5,802 | 6,074 | 5,649 | 5,994 | 6,057 | 5,846 | 6,056 | 6,065 | 5,747 | 71,258 |
| 4480 Real Estate Taxes | 27,702 | 30,498 | 28,807 | 30,804 | 29,365 | 27,558 | 29,488 | 30,575 | 28,980 | 30,624 | 29,555 | 27,129 | 351,084 |
| 4490 Asset Management F | 18,581 | 19,462 | 18,216 | 17,847 | 19,010 | 18,449 | 19,778 | 20,185 | 18,007 | 19,981 | 19,995 | 18,513 | 228,025 |
| 4500 Replacement Reserv | 35,119 | 34,235 | 36,354 | 34,888 | 34,996 | 35,610 | 33,364 | 37,253 | 34,185 | 36,670 | 33,598 | 36,927 | 423,200 |
| 4510 Roof Repairs | 27,138 | 26,942 | 29,683 | 27,120 | 28,864 | 28,473 | 28,636 | 27,000 | 28,533 | 30,213 | 30,239 | 27,362 | 340,203 |
| 4520 Parking Lot Repair | 31,597 | 30,442 | 29,980 | 33,234 | 32,653 | 29,829 | 29,569 | 29,424 | 30,099 | 29,314 | 29,307 | 30,747 | 366,194 |
| 4530 Signage | 13,553 | 12,738 | 14,445 | 13,333 | 13,182 | 13,110 | 13,153 | 12,714 | 13,722 | 13,677 | 13,692 | 12,630 | 159,950 |
| 4540 Tenant Improvement | 42,681 | 42,551 | 43,733 | 46,869 | 43,641 | 41,882 | 43,533 | 42,297 | 43,087 | 46,173 | 42,197 | 45,130 | 523,774 |
| 4550 Leasing Commission | 7,985 | 7,882 | 7,582 | 7,953 | 7,392 | 7,604 | 7,298 | 7,063 | 7,499 | 7,975 | 7,362 | 7,723 | 91,318 |
| 4000 Gross Potential Re | 364,097 | 379,792 | 351,488 | 387,296 | 385,350 | 380,306 | 354,587 | 401,111 | 381,179 | 373,984 | 356,817 | 398,087 | 4,514,093 |
| 4010 Loss to Lease | 179,088 | 196,894 | 190,685 | 187,567 | 178,391 | 192,928 | 201,039 | 185,005 | 176,269 | 201,641 | 181,161 | 178,966 | 2,249,635 |
| 4020 Vacancy Loss | 241,557 | 268,343 | 262,744 | 254,758 | 252,602 | 240,269 | 256,398 | 244,120 | 264,843 | 264,499 | 247,330 | 241,495 | 3,038,957 |
| 4030 Concessions | 84,103 | 83,323 | 89,868 | 86,689 | 87,735 | 91,283 | 88,952 | 90,864 | 79,855 | 88,589 | 83,885 | 88,943 | 1,044,090 |
| 4040 Bad Debt | 298,249 | 263,260 | 279,686 | 285,134 | 266,939 | 277,922 | 284,967 | 284,919 | 287,612 | 281,114 | 270,133 | 294,121 | 3,374,055 |
| 4050 Late Fees | 75,342 | 71,684 | 73,538 | 69,992 | 67,379 | 71,794 | 72,045 | 67,863 | 69,810 | 68,868 | 75,680 | 67,809 | 851,805 |
| 4060 Utility Reimbursem | 12,884 | 13,284 | 12,941 | 12,850 | 13,643 | 13,887 | 12,989 | 13,504 | 14,406 | 12,801 | 14,421 | 12,617 | 160,226 |
| 4070 Parking Income | 219,940 | 221,280 | 206,380 | 214,792 | 230,557 | 214,989 | 210,637 | 225,895 | 221,759 | 223,464 | 220,219 | 216,480 | 2,626,392 |
| 4080 Application Fees | 70,715 | 69,100 | 67,179 | 63,767 | 65,905 | 63,787 | 66,866 | 64,183 | 69,092 | 64,736 | 68,636 | 63,293 | 797,261 |
| 4090 Pet Rent | 65,937 | 60,249 | 63,050 | 66,671 | 64,592 | 65,991 | 59,699 | 58,677 | 59,647 | 61,791 | 65,949 | 59,775 | 752,026 |
| 4100 Laundry Income | 109,508 | 111,329 | 104,832 | 112,491 | 112,054 | 114,341 | 116,037 | 117,214 | 117,393 | 115,650 | 109,915 | 111,592 | 1,352,356 |
| 4110 Cable/Internet Rev | 280,269 | 280,523 | 286,297 | 306,692 | 301,934 | 287,442 | 312,314 | 308,421 | 306,736 | 280,605 | 276,448 | 278,754 | 3,506,436 |
| 4120 CAM Reimbursements | 193,521 | 190,936 | 188,239 | 173,296 | 175,030 | 184,409 | 190,952 | 188,403 | 178,060 | 190,974 | 181,984 | 189,989 | 2,225,793 |
| 4130 Tax Reimbursements | 80,948 | 75,778 | 78,190 | 80,199 | 77,245 | 74,513 | 77,646 | 79,793 | 74,407 | 73,966 | 77,566 | 79,291 | 929,540 |
| 4140 Insurance Reimburs | 145,109 | 139,336 | 136,875 | 140,275 | 149,668 | 153,713 | 153,393 | 135,570 | 143,716 | 138,856 | 139,414 | 146,589 | 1,722,515 |
| 4150 Percentage Rent | 91,151 | 93,410 | 96,201 | 100,067 | 91,674 | 93,411 | 95,881 | 90,471 | 89,679 | 98,234 | 93,872 | 99,297 | 1,133,347 |
| 4160 Misc. Income | 31,178 | 30,069 | 30,168 | 31,609 | 28,711 | 32,077 | 29,774 | 29,422 | 29,880 | 32,256 | 32,015 | 31,902 | 369,060 |
| 4170 Payroll - Manageme | 24,019 | 27,086 | 26,341 | 27,431 | 26,187 | 24,597 | 26,242 | 24,886 | 26,317 | 25,827 | 25,931 | 25,831 | 310,693 |
| 4180 Payroll - Leasing | 20,654 | 19,169 | 19,059 | 20,598 | 19,977 | 20,442 | 20,463 | 20,163 | 20,917 | 19,694 | 19,195 | 20,550 | 240,881 |
| 4190 Payroll - Maintena | 31,740 | 35,023 | 32,655 | 33,885 | 31,613 | 33,155 | 34,960 | 33,487 | 33,268 | 31,765 | 34,383 | 34,836 | 400,771 |
| 4200 Payroll Taxes & Be | 19,210 | 18,767 | 18,564 | 18,569 | 19,368 | 19,126 | 20,765 | 20,797 | 19,242 | 20,177 | 18,857 | 19,963 | 233,407 |
| 4210 Repairs - Plumbing | 39,303 | 35,985 | 38,127 | 39,958 | 38,538 | 35,365 | 37,976 | 38,106 | 38,685 | 38,929 | 37,525 | 39,186 | 457,682 |
| 4220 Repairs - HVAC | 20,353 | 21,743 | 22,182 | 20,280 | 21,822 | 21,951 | 22,151 | 20,050 | 21,126 | 20,058 | 21,237 | 21,305 | 254,257 |
| 4230 Repairs - Electric | 3,856 | 4,232 | 4,258 | 3,862 | 4,345 | 4,122 | 4,136 | 3,841 | 4,358 | 4,100 | 4,162 | 3,885 | 49,156 |
| 4240 Repairs - Applianc | 45,767 | 42,581 | 45,446 | 43,818 | 44,457 | 42,618 | 46,403 | 43,185 | 41,140 | 47,130 | 47,247 | 44,343 | 534,135 |
| 4250 Painting & Decorat | 25,952 | 25,846 | 26,825 | 26,570 | 27,289 | 25,637 | 26,409 | 24,735 | 24,714 | 27,496 | 25,158 | 25,489 | 312,118 |
| 4260 Flooring | 23,668 | 22,088 | 24,020 | 23,402 | 23,476 | 24,146 | 23,665 | 24,562 | 24,159 | 22,953 | 21,995 | 23,307 | 281,443 |
| 4270 Make-Ready / Turno | 28,231 | 29,681 | 29,044 | 28,234 | 26,311 | 28,496 | 28,445 | 29,089 | 27,662 | 29,192 | 28,412 | 26,893 | 339,691 |
| 4280 Landscaping Contra | 29,592 | 32,661 | 30,287 | 29,751 | 30,281 | 30,577 | 29,814 | 31,357 | 32,300 | 29,340 | 31,000 | 31,103 | 368,064 |
| 4290 Snow Removal | 44,253 | 43,946 | 42,892 | 43,427 | 43,701 | 39,831 | 45,003 | 43,970 | 41,213 | 41,845 | 41,169 | 39,629 | 510,879 |
| 4300 Janitorial | 44,209 | 44,043 | 46,351 | 42,911 | 44,236 | 46,707 | 45,108 | 46,562 | 42,134 | 43,786 | 41,987 | 41,315 | 529,349 |
| 4310 Pest Control | 12,293 | 12,791 | 12,820 | 11,826 | 11,581 | 12,321 | 12,278 | 11,927 | 13,195 | 12,751 | 13,258 | 11,615 | 148,655 |

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## Income and Expense Review

Effective gross income for the trailing period was $238,000, representing a 13.0% increase over the prior year. The going-in capitalization rate of 7.81% reflects the in-place income and the stabilized occupancy assumption. The property is walkable to transit, with 24 structured parking spaces shared between uses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

The going-in capitalization rate of 5.60% reflects the in-place income and the stabilized occupancy assumption. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Effective gross income for the trailing period was $155,000, representing a 7.9% increase over the prior year. Operating expenses totaled $385,000 or approximately 31.23 per square foot, with real estate taxes representing the largest line item.

## Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 12 structured parking spaces shared between uses.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 33 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

## Valuation Discussion

Operating expenses totaled $313,000 or approximately 23.00 per square foot, with real estate taxes representing the largest line item. Percentage rent and CAM reimbursements are tracked separately for the commercial component. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.98x on a trailing basis against a covenant minimum of 1.20x. The property is walkable to transit, with 37 structured parking spaces shared between uses. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 7.23x on a trailing basis against a covenant minimum of 1.20x. The property is walkable to transit, with 5 structured parking spaces shared between uses. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $114,000 or approximately 8.08 per square foot, with real estate taxes representing the largest line item.

## Management Commentary

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Collections for the period were 92.9% of billed charges, with bad debt of 7.9% of gross potential income.

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## Trailing 12-Month Operating Statement (Detail)

| Account | Nov | Dec | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | T-12 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 4320 Trash Removal | 16,900 | 16,385 | 16,973 | 16,527 | 17,783 | 16,458 | 18,352 | 18,430 | 16,791 | 17,113 | 17,816 | 17,498 | 207,025 |
| 4330 Elevator Contract | 9,281 | 9,033 | 8,566 | 9,424 | 9,258 | 9,326 | 8,669 | 9,364 | 9,347 | 8,328 | 9,163 | 9,384 | 109,145 |
| 4340 Fire & Life Safety | 39,342 | 43,394 | 40,280 | 41,839 | 39,385 | 43,801 | 41,399 | 39,095 | 42,945 | 39,375 | 39,546 | 40,016 | 490,418 |
| 4350 Security | 20,422 | 19,590 | 20,053 | 19,857 | 19,736 | 20,603 | 21,412 | 21,078 | 21,308 | 18,940 | 20,693 | 20,481 | 244,173 |
| 4360 Electricity - Comm | 20,392 | 22,469 | 21,776 | 20,970 | 22,078 | 22,721 | 20,197 | 22,521 | 19,928 | 20,555 | 22,531 | 22,078 | 258,216 |
| 4370 Gas - Common | 7,466 | 7,158 | 6,528 | 7,309 | 6,907 | 6,862 | 7,026 | 7,419 | 6,777 | 7,477 | 7,129 | 7,033 | 85,091 |
| 4380 Water & Sewer | 11,473 | 10,292 | 10,459 | 11,633 | 10,926 | 11,691 | 10,288 | 11,003 | 10,773 | 11,367 | 11,502 | 11,012 | 132,421 |
| 4390 Telephone/Internet | 28,984 | 29,522 | 27,654 | 27,265 | 30,061 | 30,448 | 29,886 | 28,573 | 28,867 | 27,577 | 29,615 | 29,125 | 347,576 |
| 4400 Advertising | 42,132 | 46,571 | 45,623 | 42,007 | 43,597 | 44,857 | 43,672 | 40,821 | 44,700 | 41,229 | 42,487 | 40,818 | 518,513 |
| 4410 Resident Events | 22,002 | 20,485 | 22,869 | 22,690 | 22,355 | 22,505 | 22,847 | 21,333 | 22,502 | 21,818 | 20,667 | 21,145 | 263,216 |
| 4420 Office Supplies | 3,911 | 4,131 | 4,062 | 3,849 | 4,305 | 4,123 | 3,962 | 4,271 | 4,192 | 4,006 | 4,130 | 3,986 | 48,927 |
| 4430 Legal & Profession | 22,199 | 24,339 | 24,025 | 23,470 | 22,540 | 23,588 | 22,873 | 24,234 | 21,968 | 23,821 | 23,468 | 22,703 | 279,229 |
| 4440 Accounting & Audit | 11,152 | 11,219 | 10,958 | 11,178 | 10,698 | 10,210 | 10,216 | 11,031 | 10,383 | 10,262 | 10,885 | 10,910 | 129,101 |
| 4450 Licenses & Permits | 12,057 | 11,807 | 11,904 | 10,810 | 11,498 | 12,258 | 10,810 | 10,953 | 11,975 | 12,110 | 10,881 | 11,547 | 138,610 |
| 4460 Management Fee | 14,500 | 15,972 | 16,631 | 15,267 | 15,047 | 15,085 | 15,870 | 16,066 | 15,332 | 14,796 | 15,029 | 15,476 | 185,071 |
| 4470 Property Insurance | 25,303 | 25,103 | 26,356 | 25,792 | 26,216 | 25,958 | 26,327 | 25,367 | 26,185 | 24,117 | 23,288 | 25,966 | 305,977 |
| 4480 Real Estate Taxes | 8,383 | 8,527 | 8,393 | 8,681 | 7,951 | 8,290 | 7,697 | 7,982 | 8,708 | 7,865 | 7,647 | 8,193 | 98,318 |
| 4490 Asset Management F | 17,228 | 17,299 | 16,674 | 18,006 | 18,470 | 17,917 | 18,764 | 19,071 | 16,913 | 16,807 | 18,552 | 18,435 | 214,134 |
| 4500 Replacement Reserv | 42,227 | 41,211 | 38,960 | 42,452 | 38,773 | 39,522 | 39,428 | 42,121 | 41,458 | 39,569 | 41,458 | 41,971 | 489,148 |
| 4510 Roof Repairs | 18,500 | 20,071 | 20,360 | 17,941 | 19,030 | 18,413 | 18,478 | 20,156 | 19,810 | 18,177 | 17,877 | 18,206 | 227,021 |
| 4520 Parking Lot Repair | 13,429 | 13,111 | 13,093 | 12,617 | 12,899 | 13,890 | 14,027 | 14,016 | 13,867 | 13,990 | 13,916 | 13,804 | 162,659 |
| 4530 Signage | 43,445 | 45,322 | 45,719 | 42,459 | 47,468 | 44,977 | 44,976 | 45,955 | 43,555 | 46,924 | 42,790 | 45,408 | 538,997 |
| 4540 Tenant Improvement | 3,817 | 3,944 | 4,004 | 3,742 | 3,578 | 3,701 | 3,770 | 3,852 | 3,886 | 3,972 | 3,760 | 3,657 | 45,683 |
| 4550 Leasing Commission | 23,531 | 22,919 | 23,179 | 24,829 | 23,397 | 22,393 | 23,718 | 25,677 | 24,275 | 24,714 | 25,129 | 24,563 | 288,326 |
| 4000 Gross Potential Re | 381,788 | 402,754 | 351,674 | 386,708 | 385,153 | 368,108 | 402,083 | 354,975 | 395,698 | 378,823 | 373,207 | 364,688 | 4,545,661 |
| 4010 Loss to Lease | 207,747 | 220,252 | 196,617 | 219,934 | 208,461 | 219,884 | 212,488 | 210,384 | 202,129 | 198,200 | 209,196 | 206,807 | 2,512,099 |
| 4020 Vacancy Loss | 170,848 | 164,017 | 163,546 | 165,634 | 155,567 | 162,123 | 160,657 | 167,555 | 161,614 | 173,928 | 160,189 | 161,191 | 1,966,868 |
| 4030 Concessions | 251,472 | 255,240 | 256,928 | 246,580 | 268,426 | 264,304 | 257,850 | 255,056 | 281,532 | 276,742 | 262,087 | 270,158 | 3,146,374 |
| 4040 Bad Debt | 103,423 | 108,679 | 107,397 | 100,311 | 105,930 | 103,624 | 99,773 | 102,093 | 104,045 | 103,884 | 104,207 | 105,138 | 1,248,505 |
| 4050 Late Fees | 118,627 | 109,914 | 119,951 | 114,653 | 115,300 | 109,406 | 119,823 | 112,350 | 112,776 | 112,730 | 119,058 | 111,622 | 1,376,208 |
| 4060 Utility Reimbursem | 56,706 | 55,962 | 55,417 | 51,873 | 57,558 | 51,868 | 53,355 | 51,802 | 52,066 | 57,605 | 57,413 | 55,127 | 656,752 |
| 4070 Parking Income | 99,849 | 100,388 | 94,169 | 101,149 | 97,418 | 96,159 | 91,063 | 89,754 | 92,246 | 96,806 | 90,095 | 91,431 | 1,140,529 |
| 4080 Application Fees | 60,580 | 57,520 | 63,906 | 59,256 | 62,874 | 61,541 | 62,877 | 62,056 | 57,945 | 58,529 | 58,265 | 63,780 | 729,130 |
| 4090 Pet Rent | 268,764 | 259,003 | 253,456 | 268,746 | 278,893 | 264,410 | 249,751 | 275,188 | 253,638 | 268,680 | 281,465 | 270,525 | 3,192,518 |
| 4100 Laundry Income | 311,830 | 307,364 | 321,339 | 308,609 | 335,731 | 341,054 | 346,322 | 342,953 | 312,290 | 327,212 | 335,314 | 313,723 | 3,903,741 |
| 4110 Cable/Internet Rev | 124,732 | 122,734 | 132,994 | 136,743 | 127,389 | 122,496 | 125,647 | 124,064 | 133,877 | 136,148 | 125,426 | 132,788 | 1,545,038 |
| 4120 CAM Reimbursements | 325,454 | 340,144 | 343,361 | 310,336 | 324,562 | 346,052 | 340,348 | 334,624 | 342,939 | 349,284 | 340,774 | 340,647 | 4,038,524 |
| 4130 Tax Reimbursements | 71,670 | 77,375 | 71,655 | 80,727 | 74,210 | 72,351 | 73,068 | 74,489 | 79,196 | 77,400 | 76,184 | 70,962 | 899,287 |
| 4140 Insurance Reimburs | 144,367 | 131,724 | 126,136 | 127,004 | 142,136 | 144,191 | 126,260 | 138,105 | 130,963 | 138,982 | 139,173 | 137,683 | 1,626,725 |
| 4150 Percentage Rent | 113,985 | 127,968 | 124,542 | 115,662 | 115,119 | 118,176 | 117,402 | 121,156 | 122,334 | 113,766 | 116,460 | 116,025 | 1,422,596 |
| 4160 Misc. Income | 134,343 | 133,928 | 131,842 | 131,275 | 142,464 | 130,293 | 146,367 | 147,908 | 147,656 | 141,939 | 130,351 | 131,725 | 1,650,090 |
| 4170 Payroll - Manageme | 41,578 | 45,925 | 43,164 | 40,487 | 41,813 | 42,545 | 45,502 | 40,595 | 46,189 | 41,183 | 40,320 | 41,446 | 510,747 |
| 4180 Payroll - Leasing | 16,603 | 17,909 | 17,334 | 17,575 | 16,559 | 17,166 | 18,252 | 18,209 | 16,956 | 18,394 | 17,957 | 17,157 | 210,071 |
| 4190 Payroll - Maintena | 21,708 | 24,446 | 23,894 | 22,100 | 24,271 | 22,277 | 24,447 | 22,606 | 23,476 | 24,009 | 21,861 | 23,871 | 278,966 |

Report generated 05/03/2025. Figures are unaudited and subject to change.

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# Summary and Notes

## Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. The property is walkable to transit, with 22 structured parking spaces shared between uses. Operating expenses totaled $344,000 or approximately 31.56 per square foot, with real estate taxes representing the largest line item.

Operating expenses totaled $51,000 or approximately 44.50 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. The going-in capitalization rate of 6.25% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $460,000, representing a 2.2% increase over the prior year.

## Property Operations

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 44 hours. Collections for the period were 92.8% of billed charges, with bad debt of 5.9% of gross potential income. The property is walkable to transit, with 12 structured parking spaces shared between uses. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. The property is walkable to transit, with 22 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Collections for the period were 94.8% of billed charges, with bad debt of 3.0% of gross potential income.

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